



Navigating the AI Investment Landscape

How Fundamental Research and AI-Enhanced Analysis Identify Opportunity Across the Hardware Supercycle, Infrastructure Adjacencies, and Software Disruption

Thematic Research | International Small- to Mid-Cap Equities | All-Cap Emerging Markets

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KEY TAKEAWAY The AI cycle has created the most extreme sector divergence since the dotcom era. Our proprietary system covering 20,000+ companies reveals that the market's binary 'hardware good, software bad' narrative is far too simple - fundamentally strong software businesses are being sold alongside genuinely threatened ones, while the hardware supercycle is broadening, not peaking.

1. The Context: A Once-in-a-Decade Sector Divergence

The AI investment cycle has produced the most extreme sector-level divergence since the dotcom era. On one side, a hardware supercycle backed by \$660-690 billion in committed hyperscaler capital expenditure, record semiconductor margins, and physical infrastructure constraints that will take years to resolve. On the other, an indiscriminate software selloff that has destroyed approximately \$1 trillion in market value since October 2025, compressing price-to-sales ratios from 9x to 6x regardless of whether a company is genuinely threatened by AI or strengthened by it.

For an investment firm covering international small- to mid-cap equities and all-cap emerging markets, this creates a singular challenge: how do you separate signal from noise across 20,000+ companies in virtually every investable market globally, where the same macro narrative produces radically different outcomes depending on geography, business model, and competitive positioning?

This case study shows how we do it. Not in theory, but in practice, using a live example of the most important investment debate in markets today.

2. How We See What Others Miss

Most international equity teams have 5-15 analysts. At roughly 50 companies per analyst, they can cover 15-25% of the investable universe at best. Coverage concentrates on accessible names. Insights cluster around consensus. The opportunity set is massive, but the traditional analyst-driven model cannot scale to match it.

We built something different. Over two decades we have assembled a proprietary fundamental database covering 20,000+ companies across 20+ years of corporate history. Every company is objectively scored and classified through our Corporate Lifecycle Framework, tracking whether a business is in Growth, Cash Cow, Fading Winner, or Restructuring phase, and monitoring transitions between stages that often signal inflection points before the market recognizes them.

Over the past two years, we have layered AI-enhanced analytical tools on top of this foundation. The combination gives a small portfolio management team the research reach of a much larger organization, while retaining the conviction and accountability that only comes from having the people who built the system also making the investment decisions.

The architecture is simple. Proprietary filtering narrows 20,000+ companies to the top ~10%. Every company is then evaluated through three independent signals: Fundamental Reality (objective quality scoring, updated weekly), Business Trajectory (AI-enhanced forward-looking research), and Market Behavior (technical momentum and cross-sectional positioning). At the individual stock level, convergence across signals builds conviction and divergence demands deeper work. But the same infrastructure also operates at scale, surfacing patterns across sectors, geographies, and themes that

no single analyst would see. This case study demonstrates both: the system identifying where entire market narratives break down, and the company-level research that tests whether the opportunity is real.

The system answers three questions that traditional processes struggle with:

How do we monitor 20,000 companies continuously?

The answer is not any single lens; it is three working together. Every company in our universe receives a Fundamental Score (0-100) measuring business quality, competitive positioning, and earnings trajectory, alongside a Technical Score (0-10) capturing price momentum and trend strength. These scores update weekly, providing a continuous, objective read on the entire investable universe.

But scoring alone is not enough. The scores tell us what is happening; our AI-enhanced thematic research tells us why. Every day, the platform processes incoming company research; earnings releases, broker reports, management commentary, order book updates, pricing data; across every market we cover, automatically surfacing emerging patterns and connecting developments across geographies and sectors. These living themes give context to every score movement. And our quarterly macro reviews for every country and region provide the structural backdrop: economic conditions, policy developments, currency dynamics, and sector-level trends that shape whether a company's fundamentals will improve or deteriorate from here.

The power is in the combination. A score divergence tells us to look. The thematic layer tells us what is driving it. The macro context tells us whether the driver is durable. When all three point in the same direction, conviction is high. When they conflict, it demands deeper investigation - and that is where the system earns its keep.

How do we connect signals across geographies in real time?

The thematic layer described above is where the system produces insights a traditional process would miss.

A concrete example: in 2H 2025, the platform flagged that gross margins were expanding by 500-1,800 basis points across power equipment manufacturers in four countries; WEG in Brazil, Powell and Hammond in North America, Fortune Electric in Taiwan, and LS Electric in Korea. No single regional analyst would see that pattern. Our system surfaced it as a coherent thematic signal within days.

Another example: our Japan SMID coverage documented the sharpest infrastructure-versus-consumer factor split we have ever recorded; Hibiya Engineering at +85% year-over-year operating profit growth, ORGANO winning TSMC and Sony fab projects, Taikisha at +54% growth on data center HVAC, while consumer-facing businesses within the same index classification were flat to negative. The system flagged this divergence automatically, connecting it to the broader global infrastructure theme rather than treating it as isolated Japan-specific earnings noise.

How do we know when the market is wrong about a specific name?

This is where the Fundamental-Technical divergence becomes most powerful. When the market sells off an entire sector indiscriminately, as it has done with software since October 2025, the system immediately separates the casualties into distinct cohorts. It shows us that businesses with solid fundamentals (Fundamental Scores of 80+) are being treated with the same hostility as businesses that are struggling (scoring below 50). It identifies which companies have regulatory moats, vertical specialization, or structural tailwinds that the blanket narrative ignores.

Once the system flags an opportunity, we can go deep. Our AI-enhanced research platform lets us pressure-test each name directly: Does this company's competitive position actually support its score? Is the disruption narrative accurate for this specific business? What does the full history of management execution look like? The institutional memory embedded in the system, 17+ years of accumulated research on thousands of companies, means we are not starting from scratch. We are building on years of prior analysis, and the AI tools let us interrogate that history, synthesize new incoming data, and produce a comprehensive company-level deep dive with speed and precision.

“A small team with the systematic coverage, pattern recognition, and institutional research memory can compete at a scale that would traditionally require dozens of analysts.”

What follows applies this system to the three tiers of the current AI investment landscape, beginning with where we believe the process adds the most differentiated value.

3a. The Software Selloff

The Market Narrative

The narrative is simple and powerful: AI agents replace enterprise software, budgets shift from licensing to compute, the 15-year SaaS premium is permanently impaired. Fund flows confirm the verdict. The entire sector has been de-rated in unison, with approximately \$1 trillion in market value destroyed since October 2025.

What Our Research Shows

This is where the depth and breadth of our research adds the most value, because the market is refusing to distinguish between businesses that are genuinely threatened by AI and those that are not. A sampling of insights from our 3 independent lenses across 20 software and IT services companies reveals three entirely different situations being priced as one:

Cohort 1: Companies Genuinely Under Pressure

Labor-arbitrage IT services where AI coding tools directly compress the value proposition. Remote access software where autonomous agents replace human technicians. Horizontal SaaS facing agentic substitution. Our data confirms the market's verdict, near-zero technical scores and below-average fundamentals. Critically, the scores and the deep research converge on the same conclusion.

Nagarro (Fundamental 62, Technical 2.3) illustrates how. The Fundamental Score has been declining, signaling worsening business quality. The demand environment is weak and AI coding tools are compressing the value of the labor-arbitrage model Nagarro relies on. Weak and

deteriorating fundamentals, weak technicals, and weak demand confirmed by our company research all converge on the same conclusion.

Infosys (Fundamental 67, Technical 0.2) tells the same story at scale. EBIT margins hold at 21.1% but large deal TCV declined 41% quarter-over-quarter and 68% year-over-year, and the structural question of whether the offshore labor-arbitrage model can adapt looms over the business. Worsening objective fundamentals, near-zero technicals, and our research confirming a difficult competitive environment; the signals converge, and when they do, the conclusion is clear.

Cohort 2: Fundamentally Strong, Market Deeply Out of Favor

Businesses built on country-specific regulatory complexity (Israeli payroll, German workforce scheduling, Danish government IT) or vertical specialization in insurance software, cybersecurity, and Japanese HR analytics. These companies have Fundamental Scores of 75-98, indicating high-quality businesses with intact competitive positions. Their Technical Scores are below 3.0; the market has turned firmly against them, effectively predicting that bad news is coming.

The question is whether the market is right. Our deep company research lets us test that directly: Is Israeli labor law complexity going to be disrupted by a general-purpose AI agent? Is a cybersecurity platform less needed when AI expands the attack surface? Is Japanese HR analytics software less valuable when Japan's population declines by hundreds of thousands of people per year? In each case, the company-specific evidence suggests the AI narrative is being applied indiscriminately to businesses whose competitive positions are, if anything, strengthened by AI adoption.

This is the system in action. The Fundamental-Technical divergence flags the anomaly automatically. The thematic database provides the sector context. The institutional memory gives us years of prior analysis on each name. And the AI-enhanced research platform lets us interrogate the thesis in hours rather than weeks. Without this infrastructure, these names would be invisible noise inside a sector-wide selloff. With it, they are identifiable, testable opportunities.

Cohort 3: Too Early to Tell

IT distribution, vertical e-commerce, and IT advisory businesses that have been sold alongside the broader narrative. An Italian IT distributor with 48% market share and 41% ROCE. A Polish e-commerce platform integrating AI features. UK IT resellers whose advisory role may become more relevant as AI adds procurement complexity.

The honest assessment: the impact on these businesses is genuinely uncertain. They are not obviously AI-vulnerable the way labor-arbitrage models are, but the market's concern that AI changes enterprise technology procurement in ways that eventually reach them is not unreasonable. This is a cohort to monitor closely and avoid until the picture clarifies.

The Numbers

Sub-Segment	Avg Fund. Score	Avg Tech. Score	Assessment
Genuinely Under Pressure	~63	~1.2	Market is right
Strong / Out of Favor	~85	~2.5	Divergence - investigate
Too Early to Tell	~76	~3.0	Monitor, avoid

Note: Scores are illustrative aggregates from Lizard Investors' proprietary database. Individual company scores vary within each cohort.

3b. The AI Hardware Supercycle

The Market Narrative

The public case for the AI hardware supercycle is overwhelming: the global semiconductor industry is projected to approach \$1 trillion in annual sales in 2026 (per the Semiconductor Industry Association). The Big Five hyperscalers have committed to \$660-690 billion in combined capex, roughly 75% targeting AI infrastructure. TSMC's CoWoS (Chip on Wafer on Substrate) advanced packaging remains sold out through 2026. SK Hynix has secured over 70% of NVIDIA's initial HBM4 (High Bandwidth Memory) orders for the Vera Rubin platform. Wall Street consensus is near-unanimously positive.

What Our Research Shows

Our bottom-up thematic work consistently identifies the AI hardware and equipment cycle as the most persistent theme across our research. It has strengthened in every recent observation window, unusual for any cyclical theme, and directly at odds with the "peak cycle" narrative.

The critical insight: the evidence suggests the cycle is broadening, not peaking. The market focuses on HBM growth decelerating from a high base and concludes the cycle is ending. But our data shows acceleration in adjacent segments; equipment orders, packaging diversification, custom application-specific integrated circuits (ASIC) activity, and power infrastructure, that more than offsets memory normalization.

This has been the most persistent theme we have encountered over the last several quarters. That persistence is itself a signal; most cyclical themes weaken over time as the market prices them in. This one is still strengthening, driven by new data points: Korea HBM4 (High Bandwidth Memory) pricing firming (not softening as bears expected), Japan equipment orders being upgraded, and Taiwan's ASE announcing LEAP capacity doubling. LEAP is ASE's advanced chip packaging technology; doubling this capacity means the industry is building alternatives to TSMC's dominant packaging, extending the overall cycle by reducing bottleneck risk.

The better frame is rotation within the hardware supercycle, with duration extended by hyperscalers building parallel supply chains.

Aggregate Score Analysis

Sub-Segment	Avg Fund. Score	Avg Tech. Score	Signal
HBM / Memory	90+	9.0+	Converged - consensus long
Equipment / Packaging	85+	8.0-9.0	Broadening cycle
ODM/EMS & ASIC Design	80+	7.0-8.5	Divergence - underappreciated
Power Semis	80+	8.5+	Strong alignment

The dominant pattern is convergence: high fundamental scores matched by high technical scores. These are strong businesses with the market firmly behind them. When Technical Scores are above

9.0 across a segment, you are betting with consensus and need the news to keep coming in strong. The ODM/EMS & ASIC Design divergence is more interesting, suggesting the custom silicon wave may still be underappreciated.

Positioning Within the Supercycle

The hardware supercycle is real and the fundamental data supports it. The margin trajectory is compelling, with SK Hynix at 58% operating margins with a roadmap toward 70%+, but the durability question matters. The key is to position for the broadening of the cycle, not its continuation in the same form: rotation from memory toward equipment, packaging diversification, and custom ASICs is where we see the longer runway and less elevated expectations.

3c. Beyond Semis: The Adjacency Effect

The Market Narrative

The market recognizes that AI infrastructure spending is pulling cooling, power, and construction businesses into orbit. Data center electricity demand is projected to nearly double by 2028. Large power transformer lead times have stretched to five years. US grid capex through 2030 is expected to be \$1.4T (per Deloitte). Cooling companies that traded at 10-15x earnings three years ago now command 50-90x. The question is whether these businesses are permanently transformed or riding a capex cycle that will normalize.

What Our Research Shows

The power and electrical equipment cycle surfaces as one of the strongest themes in our bottom-up research. But what the market treats as "data center adjacency," our cross-market mosaic reveals as something broader: a convergence of data center power needs, grid modernization, EV infrastructure, and industrial reshoring, with uncorrelated demand sources hitting the same set of physically constrained manufacturers at the same time.

The cross-company margin expansion evidence (500-1,800 basis points across four countries, as described in Section 2) was one of the first signals our system flagged. These businesses have never experienced this pricing environment. The drivers are structurally reinforcing: physical scarcity (5-year transformer lead times), no realistic new entrants (3-4 year factory build times), and demand convergence from sources that don't move in lockstep.

The Japan SMID infrastructure-versus-consumer split (also flagged by the system and described above) adds a distinct geographic leg that is largely invisible to non-Japan investors. Passive flows don't distinguish between infrastructure winners and consumer laggards. A third leg, European capital goods electrification and M&A provides additional geographic diversification within the same structural theme.

Aggregate Score Analysis

Sub-Segment	Avg Fund. Score	Avg Tech. Score	Signal
Power & Electrical Infra	80-90	7.5-9.0	Backlog-supported re-rating
Cooling / Thermal	65-75	8.0-9.5	Narrative ahead of fundamentals
Japan SMID Infrastructure	75-85	7.0-8.5	Distinct, under-recognized
European Capital Goods	75-85	7.0-8.0	M&A + electrification

The aggregate data makes a clear distinction within the adjacency trade. Power and electrical names with multi-year backlogs score well on both dimensions. Cooling and thermal names show a gap between market enthusiasm and underlying business quality; the stocks have been re-rated on the AI narrative, but the fundamental scores still reflect the modest-growth industrials many of these businesses have historically been. That gap doesn't mean the trade is wrong, but it does mean the margin for error is thin.

4. From Insight to Action: Where the Disconnect Lives

Software: Identify, Test, Wait for Exhaustion

The Cohort 2 names, Fundamentally Strong, Market Deeply Out of Favor, represent the clearest expression of our process adding differentiated value. The approach is to monitor the fundamentals closely while avoiding names until the technical picture stabilizes, until sellers are exhausted. As long as revenue growth holds, margins stay stable, and competitive positions remain intact, time is on our side. The market's selling pressure will eventually burn itself out, and when it does, the names with the strongest fundamentals re-rate first. If the fundamentals do start to break down, if the AI disruption narrative turns out to be right for a specific business, the depth of our company-level research means we will see it well before the final verdict.

Hardware: Own It, Size Appropriately, Rotate Within

The fundamental data supports the supercycle. The margin trajectory is compelling but the durability question remains. Within the tier, rotation from memory toward equipment, packaging, and custom ASICs is where expectations are less fully reflected. Position for the broadening of the cycle, not its continuation in the same form.

Adjacencies: Differentiate Within the Trade

Concentrate in names where multi-year backlogs provide fundamental support for the re-rating (power and electrical infrastructure), and be cautious where the narrative has outrun the underlying business quality (cooling/HVAC). Japan SMID infrastructure and European capital goods M&A offer geographic diversification within the same structural theme.

5. Understanding Risks Through Our System's Lens

The Capex Risk

The central risk to the hardware and adjacency themes is a pullback in hyperscaler capex. The dotcom parallel is instructive: in 1999-2000, telecom carriers committed over \$500 billion to fiber optic buildout with near-unanimous analyst support, only to see spending collapse 60-70% within 18 months when utilization rates failed to match capacity additions. The infrastructure that was built remained valuable; the internet did transform the economy. However, the companies that built it suffered years of overcapacity and margin compression.

Today's AI capex cycle shares some of the same structural characteristics: concentrated spending by a small number of hyperscalers, consensus near-unanimity that the spending is justified, and capacity additions running well ahead of measurable AI revenue generation. The critical difference is that the current cycle is anchored by physical constraints; 5-year power transformer lead times, sold-out packaging capacity, semiconductor fab construction timelines; that limit the speed at which overbuilding can occur. The dotcom buildout happened fast because laying fiber was fast. This cycle is inherently slower, which may extend its duration but also means the correction, when it comes, could be more gradual.

Our system monitors this risk through multiple channels simultaneously: direct capex guidance from hyperscaler earnings, order book data from equipment manufacturers across four countries, lead time trends in power infrastructure, and the thematic scoring that tracks whether the cycle's signals are strengthening or weakening. A meaningful reversal would show up across all of these inputs before it became consensus. The question is not whether the cycle eventually normalizes; it will, but whether we see the inflection early enough to act.

Geopolitical Risk

The Iran conflict introduces a new dimension. Energy price spikes, dollar strength, and risk-off positioning hit international and emerging market equities disproportionately. Korean equities have fallen 18% in a single week. For our universe, this creates both risk and opportunity. The direct impact on the businesses we follow is largely limited (most are not energy-dependent), but the second-order effects; inflation expectations, rate cut timelines, and fund flow reversals can suppress valuations regardless of fundamentals. Our system's ability to distinguish between macro-driven price action and fundamental deterioration is critical in this environment.

6. Conclusion

The AI investment cycle has created the most binary market narrative since the dotcom era. Hardware good, software bad. This simplicity is both the market's operating framework and the source of the disconnect. What this case study demonstrates is that deep, cross-market fundamental research, combining objective scoring, thematic pattern recognition, and AI-enhanced tools that preserve and build on 17+ years of institutional memory, reveals a more nuanced picture than the headline narrative suggests.

None of what we have shown here replaces fundamental judgment. It amplifies it. The system ensures that every investment decision is made with the full picture: every company scored and

tracked continuously, emerging patterns connected across geographies, every prior research cycle preserved and accessible. It turns the structural coverage problem in international equities, too many companies, too many markets, too much information, from a permanent disadvantage into a compounding advantage. In a market where information is abundant but insight is scarce, the firms that win the next decade will be the ones that figure out how to compound their analytical edge, not just their capital.

We welcome the opportunity to walk through our process, our positioning, and how this research infrastructure translates into outcomes for investors.

S O U R C E S

Global semiconductor sales projected to approach \$1 trillion in 2026. Source: Semiconductor Industry Association (SIA), based on WSTS, Feb 6, 2026.

Big Five hyperscaler capex of \$660-690 billion in 2026. Source: Futurum Group, Feb 2026; corroborated by CreditSights and IEEE ComSoc.

SK Hynix secured ~70% of NVIDIA's initial HBM4 orders. Source: Yonhap News Agency, Jan 28, 2026; TrendForce, Counterpoint Research.

SK Hynix Q4 2025: revenue KRW 32.8T, operating profit KRW 19.2T, 58% margin. Source: SK Hynix Q4 2025 Earnings Release, Jan 28, 2026.

Samsung HBM4 qualification timeline (H1 2026). Source: TrendForce, Jan 28, 2026; Samsung Electronics earnings guidance.

TSMC CoWoS advanced packaging sold out through 2026. Source: TSMC earnings commentary; industry sell-side consensus.

Data center electricity demand projected to reach 945 TWh by 2030. Source: International Energy Agency (IEA).

Large power transformer lead times stretched to five years. Source: US Department of Energy, National Transmission Needs Study.

US grid infrastructure investment through 2030. Source: Deloitte, S&P Global, Morningstar DBRS (~\$1.4T for 2025-2030).

Japan population declining by hundreds of thousands annually. Source: Japanese Ministry of Internal Affairs and Communications (2024 data).

Company-specific financial data, Fundamental Scores, Technical Scores, and individual company analyses referenced throughout this case study are derived from Lizard Investors' proprietary research database and analytical platform.

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